

HS 125 End Semester Examination**F.M.: 60****Answer any five questions: (12x5=60)**

1. Use the concept of Phillips Curve to derive the Aggregate Supply schedule.
2. In the Mundell- Fleming model with perfect capital mobility, explain how a commitment to maintain a fixed exchange rate makes the money stock endogenous.
3. In the Mundell- Fleming model with perfect capital mobility, do real disturbances to demand affect equilibrium output under flexible exchange rate regime? Explain.
4. In the Solow growth model without technical progress, explain in detail, the short run and long run effects of an increase in saving rate on the economy.
5. Explain the concept of Golden rule level of capital in the context of the Solow model of economic growth.
6. How does an Investment subsidy help in boosting investment, even in case of an expansionary fiscal policy? What do you understand by Balanced Budget Multiplier?
7. How does the Expectations Augmented Phillips Curve help explain the wage-employment relationship? Explain the concept of stagflation.

HS 125 Mid Semester Examination

F.M.: 40

Answer any 4 questions ($4 \times 10 = 40$):

- ✓ 1. How can fiscal policy help in automatically stabilizing the economy through its influence on the simple Keynesian multiplier?
- ✓ 2. Explain the concept of balanced budget multiplier.
- ✓ 3. What determines the slope and position of the IS schedule?
- ✓ 4. Using an IS-LM framework, explain when there can be (a) full crowding out and (b) no crowding out on expansionary fiscal policy.
- ✓ 5. What is meant by open market operation? When is monetary policy said to be accommodative?